RFP NO. DE-RP96-22PO00001

EXCHANGE OF THIRTY TWO (32) MILLION BARRELS OF SOUR CRUDE OIL FROM THE STRATEGIC PETROLEUM RESERVE

Questions & Answers

1. **Question: Reference L.5(b)(6), Offer Guarantee Letter of Credit**
   How long does the offer guarantee letter of credit need to stay open if we are a winning bidder?

   Answer: Per L.5(b)(6)(g), the offer guarantee must be valid for at least 30 calendar days after the date set for receipt of offers. Per Amendment 0001 and L.5(b)(6)(h), if an offer is accepted, the offer guarantee Letters of Credit will be returned upon receipt of a satisfactory payment and performance Letter of Credit.

2. **Question: Is there a Base Reference Price for this Exchange?**

   Answer: There is no Base Reference Price in this Exchange. This Exchange uses a fixed premium as seen in section B.5(a) and with an example in section B.5(b).

3. **Question: Can a Contractor return the bbls Ex-Pipe at Sunoco Nederland, Phillips 66 Beaumont, and/or St. James, or is tankage required at these respective sites to return volumes to the SPR?**

   Answer: In accordance with the solicitation, section B.6, …. "*Offerors are responsible for ensuring that deliveries from and to the SPR can be accommodated through the applicable commercial terminals/pipelines*." The SPR does not provide tankage at any of the terminals for Exchange Oil or Return Oil deliveries. Please note, as per section B.1(a) of the solicitation, Return Oil barrels are to be returned to the respective site that Exchange Oil barrels were delivered from.

4. **Question: How is the price of the volumes Exchanged determined?**

   Answer: Section B.5(a) presents the fixed exchange premium, and section B.5(b) has an example of how the premium barrels are calculated.

5. **Question: Can you please confirm that Sweet volumes can be returned in the exchange?**

Answer: Pursuant to the table at B.5(d), this Exchange solicitation is only for SPR sour barrels.

6. **Question: Is this RFP restricted to U.S. Refiners only?**

   Answer: The Exchange solicitation is not restricted to U.S. Refiners.

7. **Question: The document states : "…..offer guarantees must be valid for at least 30 calendar days after the date set for the receipt of offers. I count that as 5 January 2022. Do you agree?**

   Answer: January 5, 2022 is correct. Please see revised Sample Offer Guarantee Standby Letter of Credit in Amendment 0001 which includes this expiration date.

8. **Question: Reference Sample Offer Guarantee - The "Offer No" usually is generated from the SPR online system, but under the terms of this exchange (submissions sent via email), I don't see how to generate an offer number. Should I assume we leave this blank?**

   Answer: Please see revised Sample Offer Guarantee Standby Letter of Credit in Amendment 0001 which corrects the erroneous references.

9. **Reference Section B.1(a) of the RFP which states the following: It is the intent of the SPR to facilitate delivery of Exchange Oil and receipt of Return Oil barrels to the same site as awarded. In the event that the site defined in this document is unable to deliver Exchange Oil or receive Return Oil for any reason, the DOE reserves the right to designate alternate location(s)**

   Question: During Hurricane Ida, we were notified that the Bayou Choctaw cavern was able to pay out crude, but was unavailable to receive crude paid back into the cavern due to structural integrity. Will this be the case for the payback periods associated with Bayou Choctaw?

   Answer: At this time, the SPR expects to receive Return Oil at Bayou Choctaw.

   Question: Can we assume that in the event that Bayou Choctaw is exchanged, that the Bayou Choctaw cavern is able to receive payback barrels during its designated return periods? Or will an exchange of Bayou Choctaw crude need to be paid back to a different cavern?

Answer: Pursuant to the solicitation, section B.1(a) states that "(*Note: It is the intent of the SPR to facilitate delivery of Exchange Oil and receipt of Return Oil barrels to the same site as awarded. In the event that the site defined in this document is unable to deliver Exchange Oil or receive Return Oil for any reason, the DOE reserves the right to designate alternate location(s). In this event, DOE will compensate through adjustments to contract delivery quantities as determined by the Contracting Officer*.)" At this time, the SPR expects to receive Return Oil at the same SPR site that Exchange Oil was delivered from.

10. **Question: Page 15, B.8 Adj. for crude oil quality differential. Under C: Allowable variations, Does this mean the Minimum payback crude oil API can be 29.50° since there is a +/- .5° and the minimum API is stated at 30°?**

    Answer: Pursuant to Section B.1(c), any Return Oil nominated to be injected into the SPR system must meet the quality specifications in Section J, Exhibit C. Section B.8(c) and B.8(d)(1) explain how contract close out differentials are calculated based on acceptable crude specification. The B.8 section adjustment is not to be interpreted as an allowance to nominate sour Return Oil with an API of 29.5° or any crude outside of the crude oil specification sheet.

11. **Question: Can you take full redelivery (32MB) during a single quarter? Am asking as latest redelivery period most likely to be popular and you have said will be your preference as well. Equates to 32MB/120d = 266 kbd delivery rate across all sites in total?**

    Answer: Per section B.1(a) of the solicitation, the table denotes what the SPR can take in a given return period with full market participation. Please note section B.6(e) states: "*While the SPR can deliver and receive the site delivery volumes as stated in B.6(d) and B.6(f), Offerors are cautioned that, due to commercial volumes at the terminals/pipelines, delivery time frames may be restricted. Offerors are responsible for ensuring that deliveries from and to the SPR can be accommodated through the applicable commercial terminals/pipelines. Offerors are also cautioned that gauging and or testing of all incoming Return Oil to determine SPR compatibility as noted in Section J, Exhibit C-1 will require the tank to be static. This should be a consideration of all Offerors when investigating terminals/pipelines and when submitting ratable schedules as noted in B.6(c)*."

12. **Question: How is the LC value determined?**

    Answer: Refer to Amendment 0003 for determination of LC value.

Question: how long must it remain open?

Answer: Refer to Question #1 for Offer Guarantee LC. Refer to M.3(f)(b) for Payment and Performance LC.

13. **Question: Can you confirm there is no price structure and this is purely based on volume premium percentages?**

    Answer: Section B.5 provides the details of the offer submittal, evaluation, and includes an example of how premium is calculated.

14. **Question: Is the GravCap table only applied if the spec falls outside the spec the offeror/contractor defines in Section J Exhibit C-1.1?**

    Answer: Section B.8 of the solicitation describes how the GravCap table, Section J, Exhibit C-2, is used to calculate quality differential in this Exchange. Quality differential will be on a cumulative weighted average basis comparing the Exchange Oil delivered to the Offeror vs the Return Oil delivered to the SPR, not adjustments to specifications in J C-1.1.

15. **Question: what basis will the Government use to determine the value of the Irrevocable Standby Letter of Credit should an offer be accepted and awarded by the Government?**

    Answer: Refer to Amendment 0003 for determination of LC value.

16. **Question: Upon review, the return crude quality requirements are quite restrictive. Is there any allowance for gravity, sulfur, or resid that is outside of the specs identified in section J?**

    Answer: Pursuant to section B.1(c) of the solicitation, all crude oil to be returned to the SPR must meet the quality specifications set forth in Section J, Exhibit C. Allowance for quality variations (API Gravity and Sulfur) will be applied in accordance with section B.8.

17. **Question: Further, identifying a specific grade of crude as the Return Oil for payback years from now is challenging; is there an allowance to return a different Oil within specs from what was submitted in the initial bid?**

    Answer: If an Offeror is unable to utilize the Exchange return Grade crude as indicated on the Offer Form (Section J, Exhibit A), then the Offeror would request

a modification per section B.9 of the solicitation. Offerors would need to submit a sufficient reason to substitute the crude, as well as a completed checklist (Section J, Exhibit C 1-1) with accompanying assay. If a modification is subsequently accepted and approved, the Offeror must deliver based on the modified Exchange Grade crude and not the original award.

18. **Question: Will the DOE accept Urals crude as payback into the sour caverns?**

    Answer: Pursuant to section B.1(c) of the solicitation, all crude oil to be returned to the SPR must meet the quality specifications set forth in Section J, Exhibit C.

19. **Question: Can a contractor who was awarded barrels based off of a return period 3 subsequently return barrels during an earlier return period provided the volume limitations are okay?**

    Answer: In accordance with section B.9 of the solicitation, a modification would need to be submitted and approved. If a modification is approved, the Fixed Premium Rate of the original award will still apply to the balance owed to the SPR. If capacity is available at the SPR site, and the Offeror has confirmed capacity with the connecting terminal, the SPR will schedule Return Oil deliveries on a best efforts basis.

20. **Question: Section M.3.f states the Payment and Performance Letter of Credit must be established for 100% of the value of the contracted quantity. How do you determine that notional value? Is the Letter of Credit amount subject to revaluation through the term of the exchange period?**

    Answer: Refer to Amendment 0003 for determination of LC value. Yes, the LC amount is subject to revaluation through the term of the exchange period.

21. **Question: Are the full terms of the Exchange contained in the RFP or is it subject to any additional General Terms and Conditions?**

    Answer: The full terms of the Exchange are contained in the RFP.

22. **Question: Referencing section B.8 in DE-RP96-22PO00001, is the benchmark that the quality (API/Sulfur) for payback from the contractor to the SPR based on the published quality (EXHIBIT C-1) or based on the quality of the crude actually given to the contractor?**

Answer: Section B.8(d)(1) and B.8(d)(2) explains that the quality differential will be a cumulative weighted average of the Exchange Oil delivered to an Offeror compared to the Return Oil that the Offeror delivers to the SPR.

Note: The crude oil quality specifics expected to be delivered from each individual SPR stream can be found on the published stream Assays located at https://www.spr.doe.gov/doeec/2021-03/Assays.html.

23. **Question: If we submit multiple crude grades for our return barrels, will these be approved if each assay meets the spec designated in Exhibit C-1.1?**

Answer: Assuming that each line item will have its own grade per Exhibit A – Offer Form, the SPR will review the Return Oil Crude Grade along with Checklist C-1.1 and associated assay(s) for concurrence and approval.

24. **Question: Can our offer designate specific months within the period of return to ratably deliver under?**

Answer: Pursuant to the solicitation, Exhibit A – Offer Form, Offerors are to indicate the Return Period (No.1/No.2/No.3) in the field. The period selected for Return Oil as submitted on Exhibit A, is part of the evaluation criteria for award.

25. **Question: On Section K Page J-7, Note 2 states that assays are required for barrels not received by the SPR withing the last 3 years. Does this apply to this exchange?**

Answer: Note 2 was revised; please see Amendment 0003.

26. **Question: For example, if we took delivery of 100,000 barrels of crude with an API of 40 and a sulfur of 0.8, we see the differential adjustment factors as, 5.10 and 1.9 respectively (per Section J.C-2 Exhibit C-2. Are those figures in USD per BBL? So would the total differential adjustment for the delivery side be $5.10 plus $1.90, or $7.00 per barrel? Is this a positive or negative differential? When we take delivery, would we make a cash payment?**

Answer: The Exchange oil to be delivered from each SPR stream offered in the Exchange are located at https://www.spr.doe.gov/doeec/2021-03/Assays.html. There will not be a quality differential associated with Exchange Oil delivered to customers.

27. **Question: On return, if we returned 103,900 barrels, with an API of 37 and a sulfur of 0.5, would the differential be calculated as $5.04 plus $1.50, or $6.54? How would the cash settlement mechanism work in this case? Would we OWE the SPR a payment because the differential is 44 cents lower? Would the payment (positive or negative) be applied to just the 100,000 delivery barrels, or to the entire volume of returned barrels, including the premium barrels (103,900)? Would the 3,900 of premium barrels have a deemed initial API and sulfur?**

    Answer: Pursuant to section B.8 of the solicitation, quality differentials are based on a cumulative weighted average comparing Exchange Oil delivered to an Offeror versus Return Oil delivered back to the SPR Any payments owed to an Offeror as a result of quality differential will be part of the Close-Out Reconciliation section B.7 and paid out in US Dollars per section B.8(d)(2). Note: The crude oil quality specifics expected to be delivered from each individual SPR stream can be found on the published stream Assays located at https://www.spr.doe.gov/doeec/2021-03/Assays.html.

28. **Question: Can you provide an example of how cumulative weighted average of API and Sulfur are calculated?**

    Answer: The cumulative weighted average API and Sulfur of the Exchange Oil delivered from the SPR will be compared against the cumulative weighted average of Return Oil delivered to the SPR and result in a net adjustment during contract close out. In the example below (illustration purposes only) there would be a net quality adjustment per barrel of $(0.01).

EXAMPLE: Quality Adjustment

API cumulative – Delivered from SPR	35.8°
API cumulative – Returned to SPR	38.2°
API cumulative - Quality Variance	2.4°
Less: Allowable Variance	±0.5°
Adjusted Variance - API	1.9°
API Gravity $ Adjustment per bbl	- 4¢
Sulfur Wt% cumulative- Delivered from SPR	1.33%
Sulfur Wt% cumulative- Returned to SPR	1.46%
Sulfur Wt% cumulative- Quality Variance	0.13%
Less: Allowable Variance	±0.10%
Excess Variance - Sulfur Wt%	0.03%
Sulfur Wt% $ Adjustment per bbl	+3¢
Net Quality $ Adjustment per bbl	**- 1¢**

"- ¢" = SPR owes Contractor

"+ ¢" = Contractor owes SPR

29. **Question: If we submit a winning bid in the current 32 mm barrel exchange program with a Return Period that is out past 1 year, is it acceptable to issue a letter of credit with an auto renew feature but with a final expiration date equal to 90 days after delivery?**

    Answer: Please refer to Amendment 0004.

30. **Question: Will all pieces of information in the offer form template be made public after the offers are awarded? Specifically, will the return oil grade type and the period of return oil delivery to SPR and delivery mode be made public after the offers are awarded?**

    Answer: Pursuant to M.3.e of the solicitation, DOE will not release to the general public the identities of the Offerors, or their offer quantities and Premium, until the successful Offerors have been determined. DOE may inform all Offerors and other interested parties of the successful Offerors and their offer data, excluding exchange ratio, by means of a public posting. The posting would occur within two weeks of receipt of offers and may be found at https://www.spr.doe.gov.

31. **Question: Does each line item in the offer form constitute as a separate offer or is the entire form considered one offer?**

Answer: Please refer to Amendment 0004.

32. **Question: If Volume X is entered into the offer form on line item 1 and the exchange oil delivery period is designated as Y months, does this imply that you are prepared to receive X bbls per month or that you are prepared to receive X bbls averaged over Y months?**

Answer: The table located at section B.1(a) indicates the monthly nominal value that the SPR will be able to accept with adequate market participation. In a conflict with another Offeror with the same priority, then the barrels will be evenly spread across forward months.